

Scope 3 Greenhouse Gas Emissions — Overview

Scope 3 emissions are all indirect greenhouse gas emissions that occur in a company's value chain, excluding Scope 1 and Scope 2.

For most organisations, Scope 3 supplier emissions dominate the total carbon footprint, often exceeding 70 percent of company-wide emissions.

The GHG Protocol defines fifteen Scope 3 categories, split between upstream and downstream activities across the supply chain.

Purchased goods and services (Category 1) captures cradle-to-gate emissions from suppliers and is typically the single largest source.

Scope 3 Supplier Emissions

Scope 3 supplier emissions are the greenhouse gas emissions produced by suppliers across the upstream value chain.

Supplier-specific data is the highest-quality method for quantifying Scope 3 supplier emissions, using primary activity data from vendors.

Where primary data is unavailable, spend-based estimation applies emission factors to procurement spend per supplier category.

A supplier engagement programme collects product carbon footprints from strategic suppliers to replace industry-average factors.

Data quality improves as more suppliers report verified emissions aligned with the Science Based Targets initiative.

Reducing Value-Chain Emissions

Reduction levers include supplier selection based on carbon intensity, low-carbon material substitution, and logistics optimisation.

Setting supplier emission reduction targets and tracking progress is central to a credible Scope 3 decarbonisation strategy.

Category 4 (upstream transportation) and Category 11 (use of sold products) are frequently material downstream hotspots.

Transparent Scope 3 reporting builds trust with investors and regulators demanding value-chain climate disclosure.